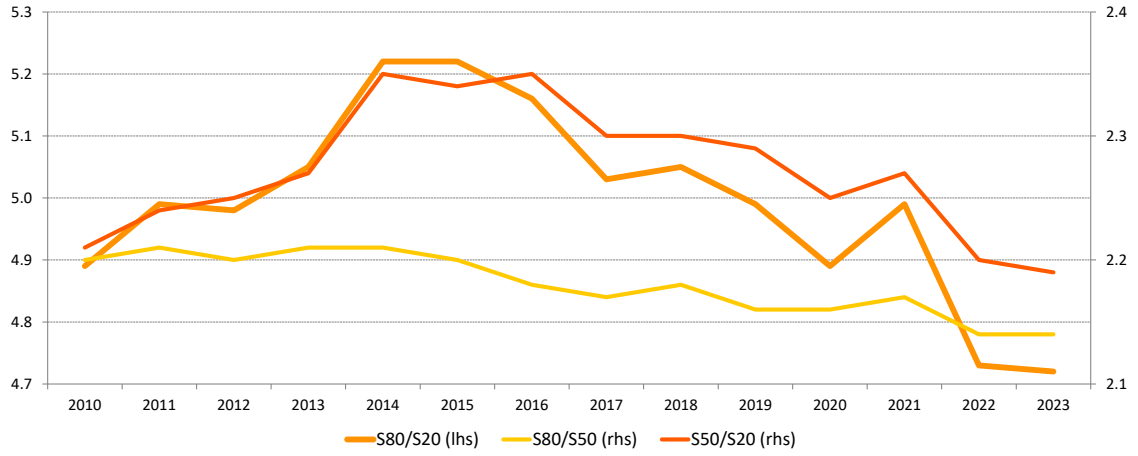
Figure 2.4.9: Income inequalities in the EU-27 fluctuated over the last fifteen years, while declining most recently

Quantile share ratios S80/S20, S80/S50 and S50/S20, 2010-2022



Note: For breaks in series see the data tables.
Source: Eurostat [tessi180], [ilc_di11d], [ilc_di11e], EU-SILC.

Sweden and Croatia. The situation in all of these eight Member States was 'to watch' in 2023. On the other hand, the decrease in income inequality was the largest in Bulgaria (-0.69), which nonetheless still had one of the highest levels in 2023 (6.61) in a 'weak but improving' situation, like for Italy, which showed a smaller decline (-0.35) but from a lower level, both contributing to upward convergence. Belgium, Czechia, Slovenia and Finland were 'best performers' in 2023. In some Member States, for example in Germany, Hungary, Italy, Portugal and Sweden, the level of income inequality also varied significantly by regions (see Figure 4 in Annex 5), including outermost regions. According to Eurostat's flash estimates for the income year 2023, the trend in income inequalities, as measured by the income quintile share ratio, was rather stable in all countries except for Latvia where a significant increase was estimated[241]. Distributional impact assessments of reforms and investments are particularly important to factor in impacts on income inequality and inform policy making *ex-ante*.

In a longer-term perspective, income inequality experienced a decline after its 2014-15 peak, with fluctuations and some differences across Member States. Income inequalities (as measured by the S80/S20) sharply increased during the double-dip recession in the EU-27, and then declined back to levels known before the financial crisis, with a further slight decline in most recent years – see Figure 2.4.9. Income inequality at the bottom of the income distribution (i.e. measured by the S50/S20) was broadly back to its level in 2010 by 2023, while it slightly declined below that at the top of the distribution (i.e. S80/S50). This highlights the impact of swift and effective policy responses in the EU in recent years, especially in relation to the COVID-19 crisis and the high cost-of-living. At the same time, it points to the lack of significant long-term improvements on average at the lower end of the income distribution. While in many Member States, the income shares improved for lower quintiles between 2007 and 2022, there was evidence of polarisation in other Member States (namely Italy, Lithuania, Luxembourg, Hungary, Malta, Denmark and Sweden)[242]. Overall, the second, third and fourth income quintiles (as a possible proxy of the middle class) slightly increased their income share over the period in several Member States with few important exceptions (namely Bulgaria, Cyprus and Finland).

Social protection benefit expenditure increased in nominal terms but decreased in real terms in 2023, with large variation across Member States and across branches[243]. The share relative to GDP was 26.8% in the EU in 2023 (vs 26.9% in 2022), which is 3.2 pps lower than the peak during the COVID-19 crisis in 2020 (at 30%, due to the exceptional policy response to it). Despite some convergence in this respect since 2018 (in particular in 2020-21), variation across Member States remained large, with six Member States having shares above 28% and other six below 17%[244]. While in nominal terms social protection benefits expenditure in the EU increased by 6.1% in 2023, in real terms it slightly decreased (-0.2%)[245], reflecting the still high inflation context. Changes in real terms vary from increases of more than 5% in seven Member States to decreases by more than 2% in four other Member States[246]. At EU level, the slight decline in real terms in

241 See Flash estimates 2023 experimental results, p. 13.

242 Based on break-neutralised data. The full analysis is available in Economic inequalities in the EU – key trends and policies.

243 Eurostat, Social protection (spr_exp_func, extracted on 07/11/2024). 2023 data are estimates covering all Member States except Greece.

244 They are FR, FI, AT, DE, BE and IT and IE, MT, EE, RO, LT and HU, respectively.

245 The changes in real terms are estimated by deflating expenditures in nominal terms in EUR [spr_exp_func] by the harmonised index of consumer prices (HICP) – see more details here.

246 They are SK, PL, CY, BE, BG, LU and NL and EE, LV, IT and LT, respectively.